RANGE TRADING

Author: Juno & 4500px


TYLER
@4500px
ACCESS CARD
JUNO
@JunoTrading
ACCESS CARD

CONTENTS

ONE

PART ONE

How to **identify** a range

HOW TO IDENTIFY A RANGE.

We first identify a range by recognizing both the range high and low, this will most often follow a strong impulse move or expansion.

We're looking for price that consolidates between two range boundaries following an expansive move, with this we're able to derive direction and high probability setups.

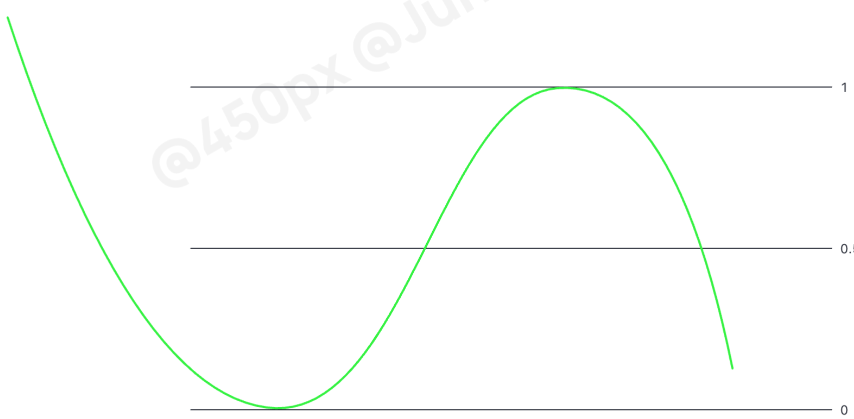
On each chart, this animation of price can look different, although the context behind the concept remains the same.

Impulse move [expansion]

- Price moves down with strength

High of range boundary created

- First high



Low of range boundary created

- First low

Once we have established these 3 steps, we can clearly identify that a range has been formed

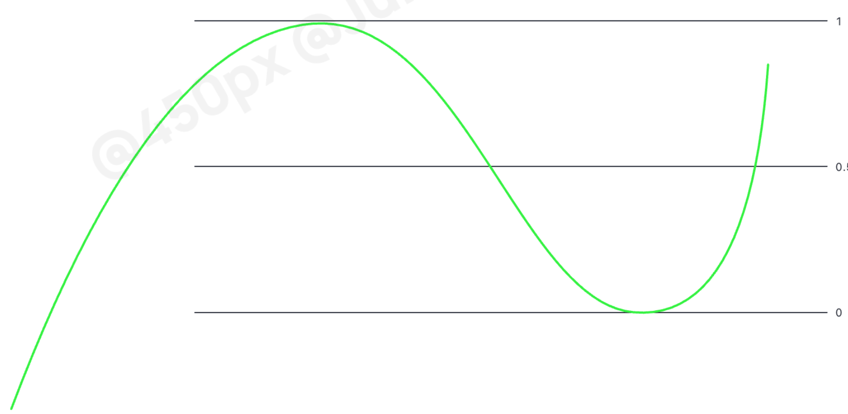
INVERSE SCENARIO.

You can see on the opposing side, the concept remains the same, we must wait for price following an impulsive move [expansion] before it forms a range.

We use the first high and low as range boundaries for price; we must be able to see ranging within these two levels.

High of range boundary created

- First high



Low of range boundary created

- First low

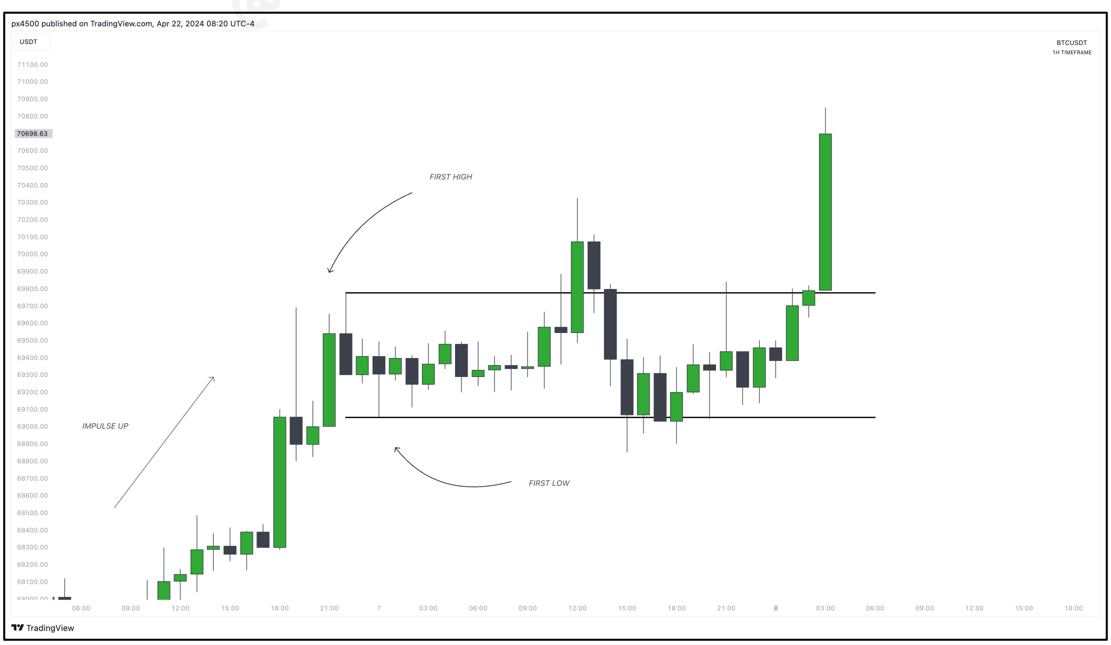
Impulse move [expansion]

- Price moves down with strength

RANGE EXAMPLES.

BTC / 07 April

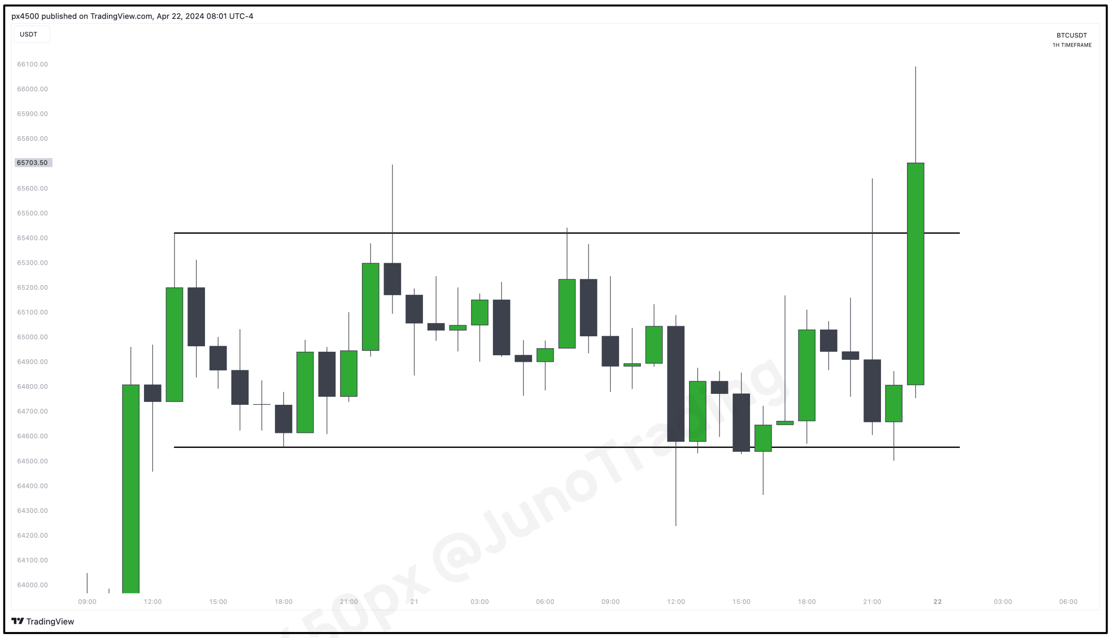
Following an impulse, we can see the range high and low formed, price then moves between these two range boundaries



RANGE EXAMPLES.

BTC / 21 April

Following an impulse, we can see the range high and low formed, price then moves between these two range boundaries

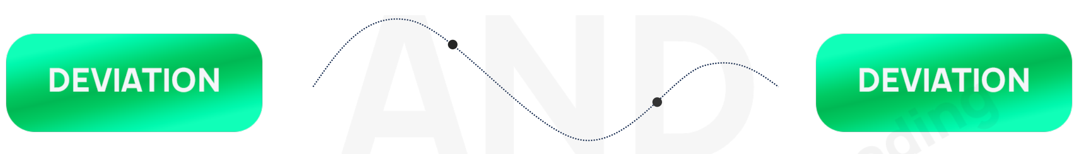


TWO

PART TWO

How to **trade** a range

ABOVE



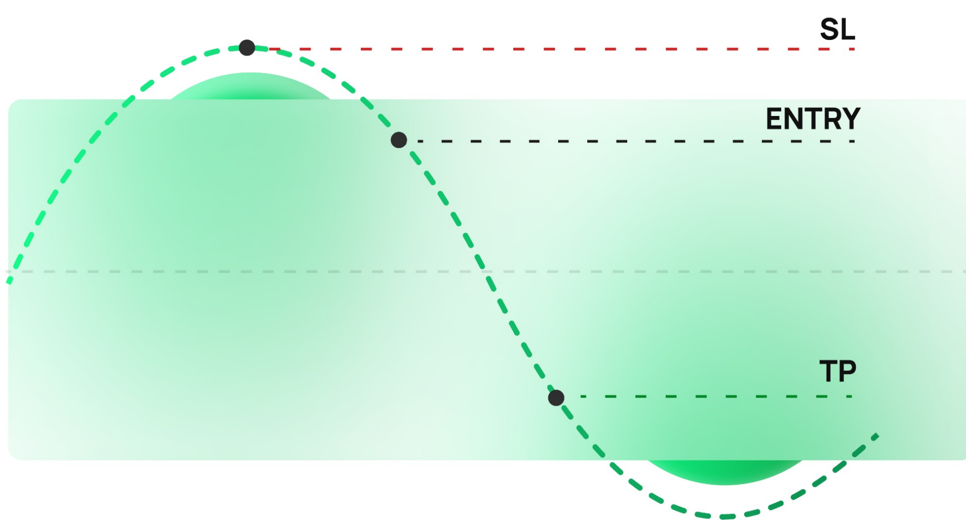
BELOW

HOW TO TRADE A RANGE

When trading a range, we can expect particular moves and components, more specifically range deviations

In simple terms, we expect the range high to be deviated in addition to the range low, meaning we can look to trade price deviation – deviation

This provides us with required components, specific take profit targets and a clear framework

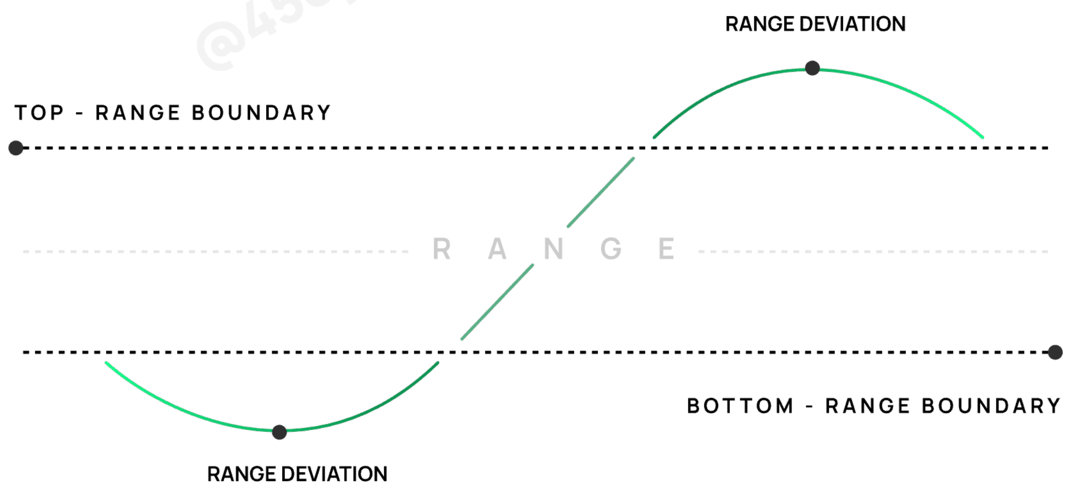


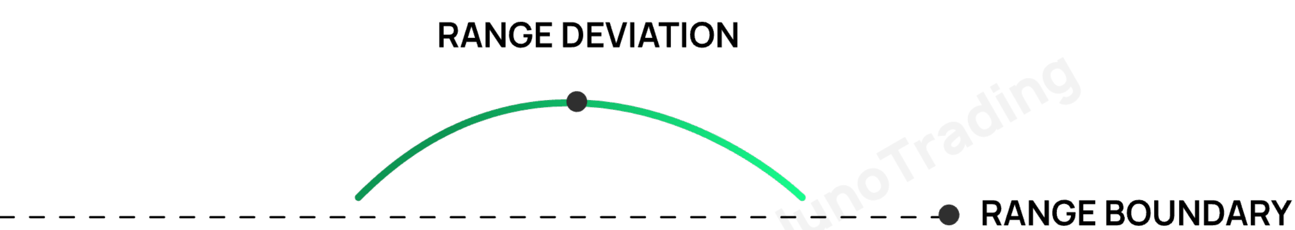
When trading ranges, we never look to take a position inside of the range, the best positions are found outside the range boundaries.

This means we must first wait for a deviation to occur at the range initially

WHAT ARE DEVIATIONS.

Let's look more specifically at deviations, this is where price moves above or below the range boundary, moving through the low is a range low deviation, moving through the high is a range high deviation.





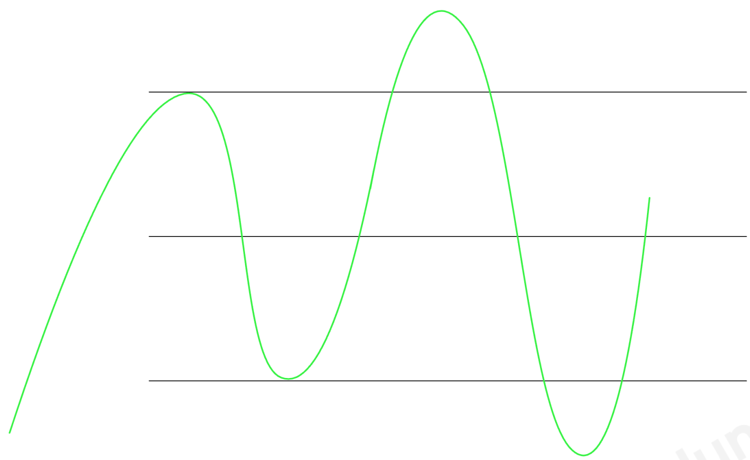
Simplified

First, we identify the range and find the boundaries, the two levels price is ranging between.

Following this, we look for deviations, this is our first step to obtaining a position

DEVIATIONS.

DEVIATION /High
Once a range has been established and we are provided with the first deviation, we can then assume price will move to deviate the opposing side, giving us a SHORT BIAS



DEVIATION /Low
Following this we can look to take profit at the next deviation.

Example
Range low deviation giving us a bullish bias.

DEVIATIONS.

Expect a deviation from the range, this could be the range high or low first, this is always the first rule, a deviation must be presented.

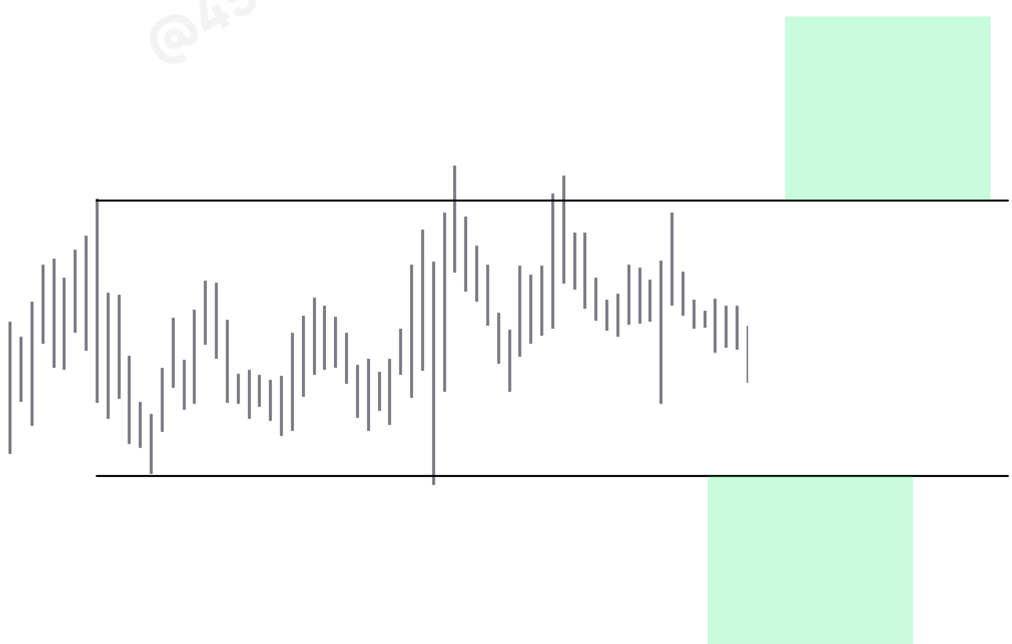
Once price moves from the range boundary, we must assure that it is indeed a deviation, we do this by watching it reclaim the range level.

1.
Range high and low is formed

2.
We observe price ranging between the boundaries

3.
Wait for a deviation and reclaim

4.
Trade the deviation to the opposing deviation

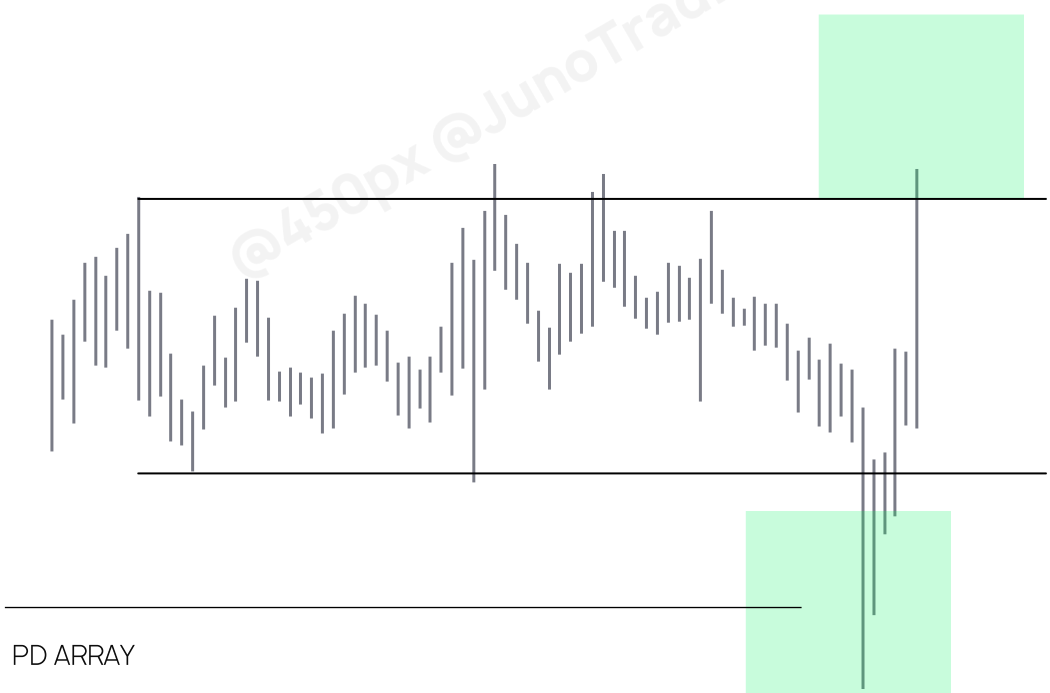


DEVIATIONS I PD ARRAYS

When expecting deviations, we can also look to use PD arrays as points of interest, where we expect price tor react from once it leaves the range boundary.

This is of course the place where we expect a reversal from price.

The best deviations move straight into a fair value gap before reclaiming the range boundary.

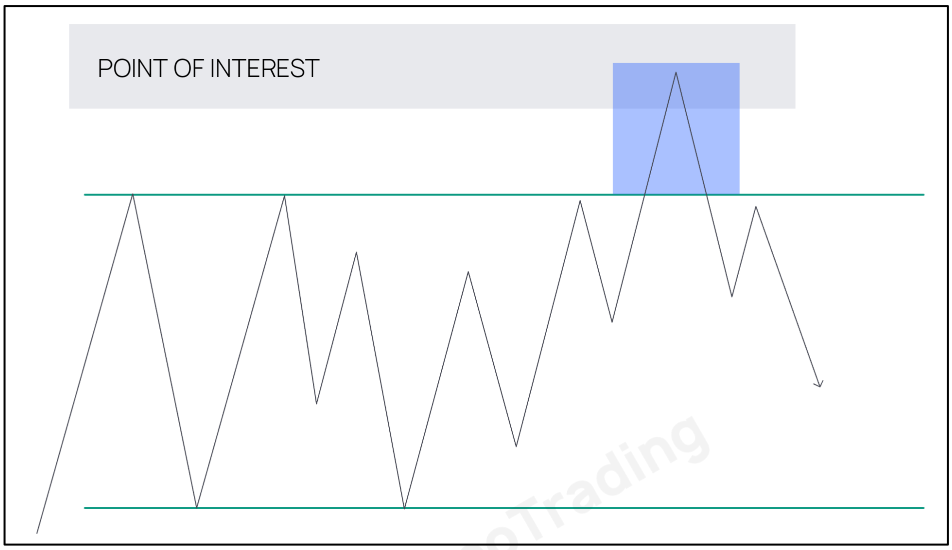


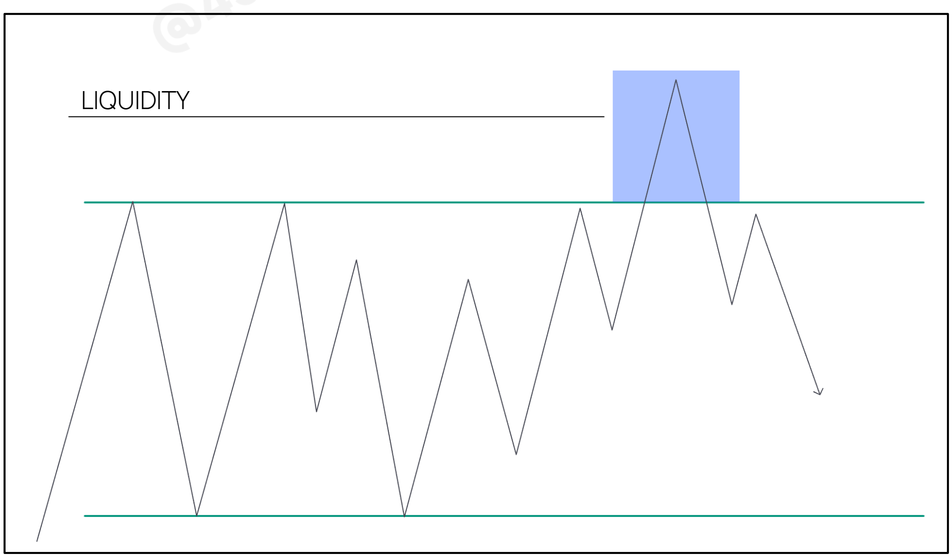
PD ARRAY

Below or above the range, where we expect a deviation to take place
we must also consider pd arrays such as FVG's, orderblocks, breakers and more

You will also yield better results if the deviations clear engineered liquidity

DEVIATION SCHEMATICS

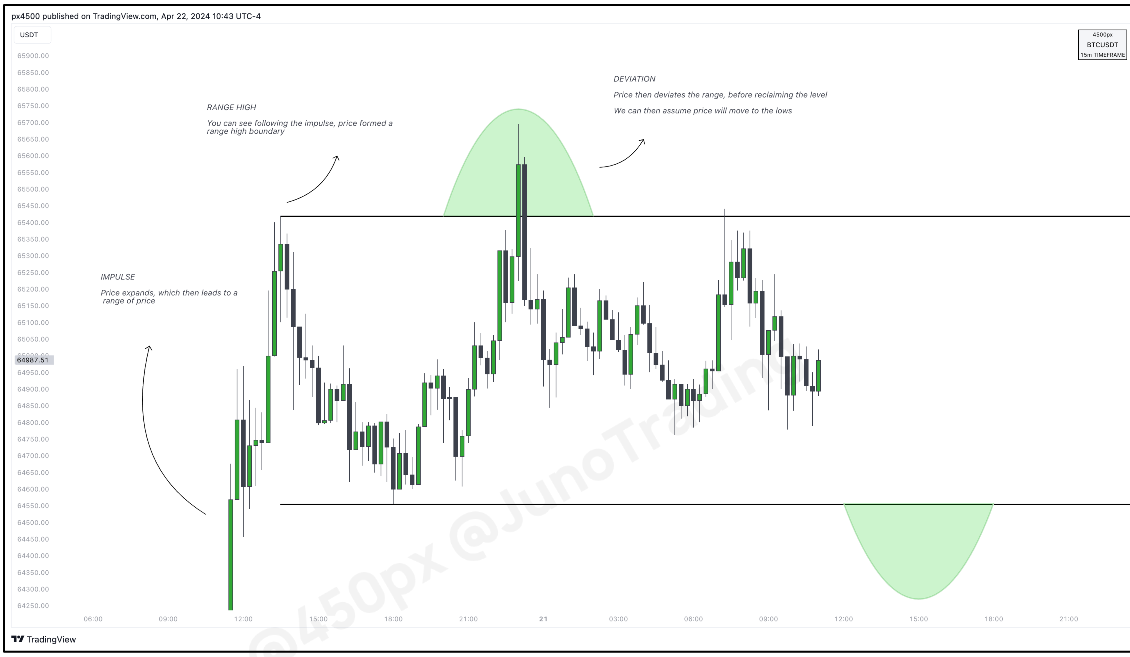




DEVIATION EXAMPLES.

BTC / 07 April

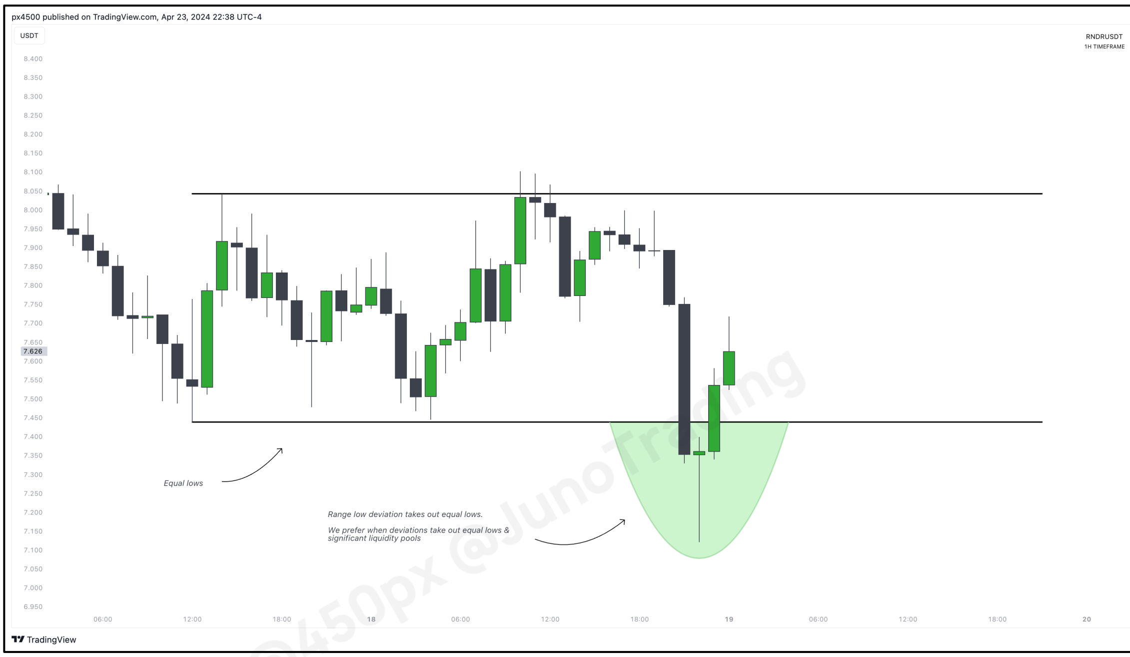
Here we can see the prime example of how price looks to deviate both sides of a range and how we can use this to try and obtain a position

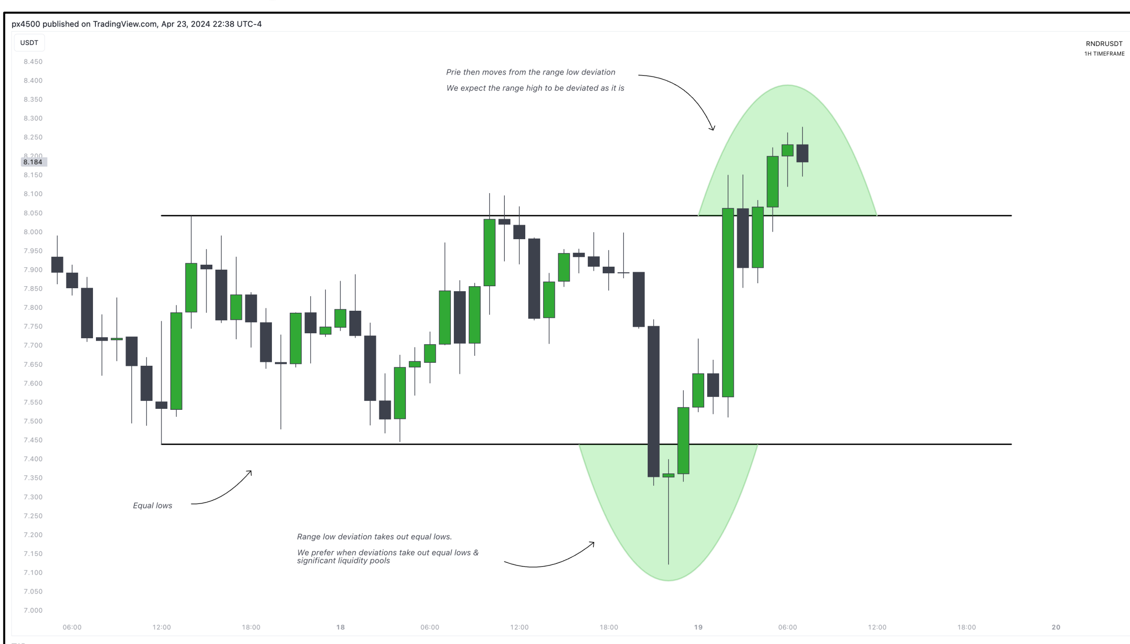


DEVIATION EXAMPLES.

RNDR / 18 April

Another prime example of price moving from the low of the range to the high.





THREE

PART THREE

How to **position** inside of a range?

POSITIONING.

Once we have identified the necessary variables to conclude a range has been formed, we can look at positioning to capitalize from the range. We must consider things such as; equal highs and lows, draw on liquidity and PD ARRAYS.

liquidity pools

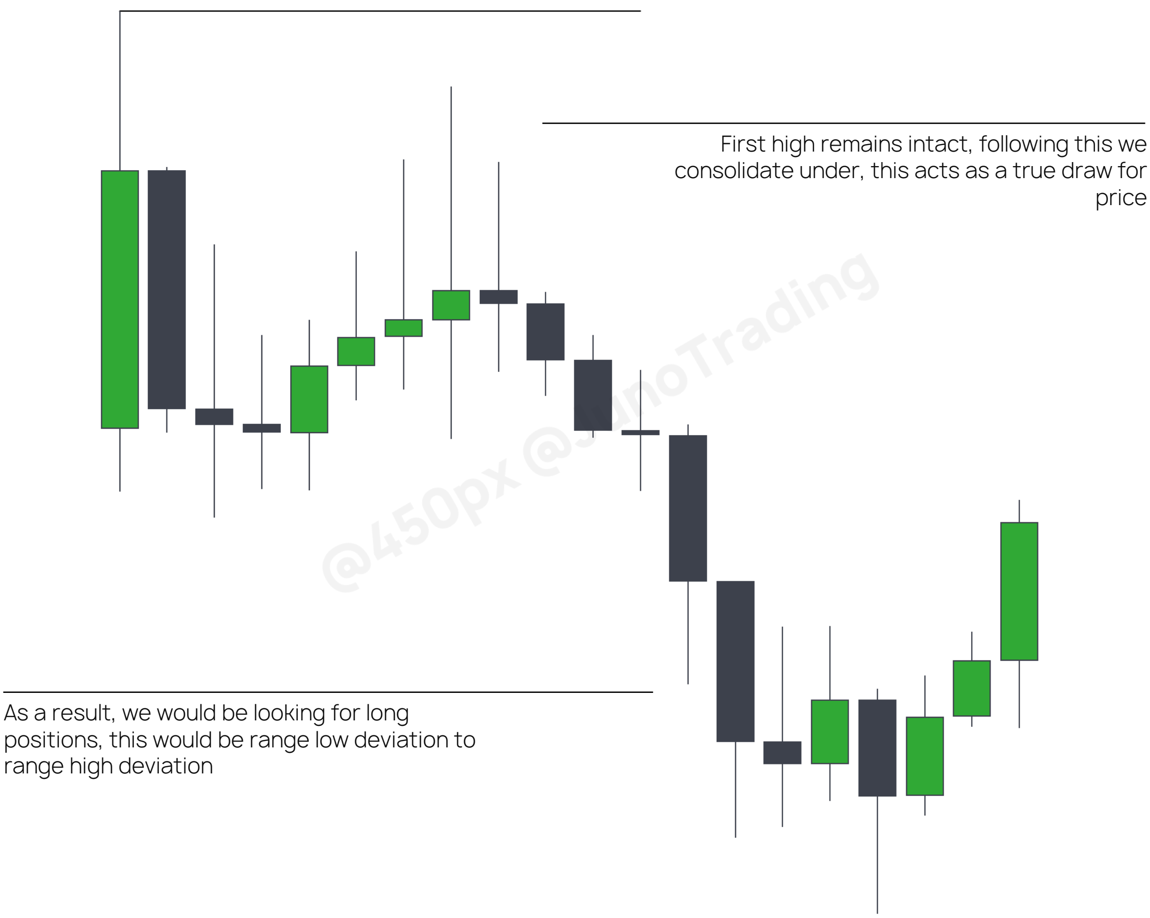
pd arrays

draw on liquidity

DRAW ON LIQUIDITY.

To yield higher results when trading ranges, its necessary to consider the higher timeframe price action in addition to the range its 'self. We must be looking to take a position In the direction of the draw on liquidity

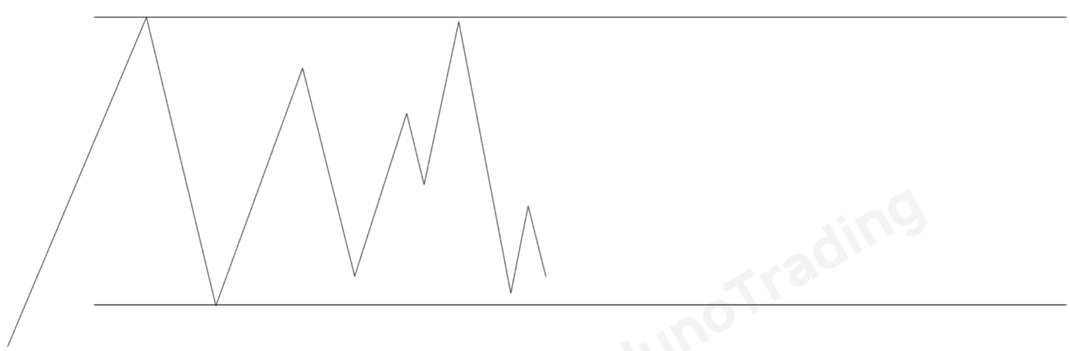
My personal favorite 'draw on liquidity' are smooth edges, these are defined as equal highs or lows.



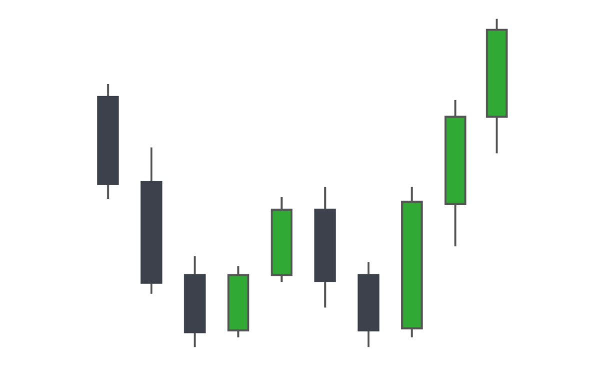
LIQUIDITY - EQUAL LOWS.

Another variable we look at regarding deviations, is liquidity, the chance of the deviation reclaiming the range and moving to deviate the opposing side is much higher in the event that it clears significant liquidity

This can be observed as equal highs or lows, when others identify this as an intraday shift, we know its solely a ‘flush out’.



Liquidity
You can see, there are equal lows here, we always prefer deviations if they clear significant liquidity

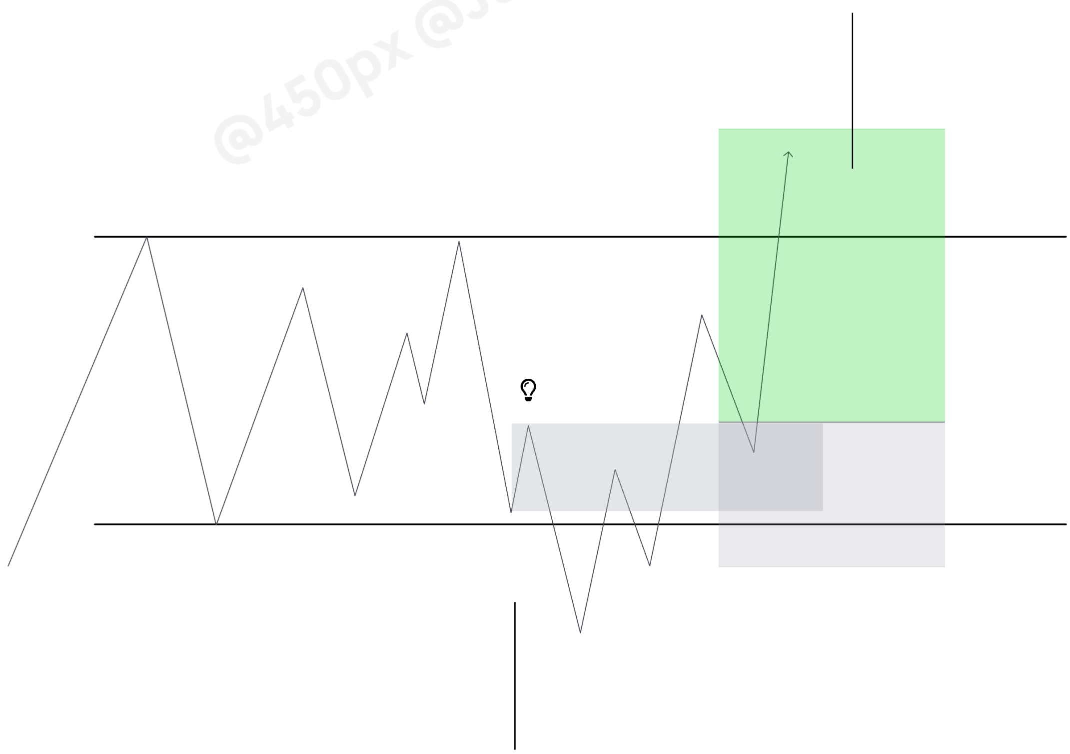


EQUAL LOWS

ENTRY.

Once price has deviated and a bias has been developed, we're simply looking for entry functions and confirmation, such as intraday shifts, breakers, orderblocks and range reclaims

We look to take profit at the opposing deviation, however we take 75% profits at the range boundary

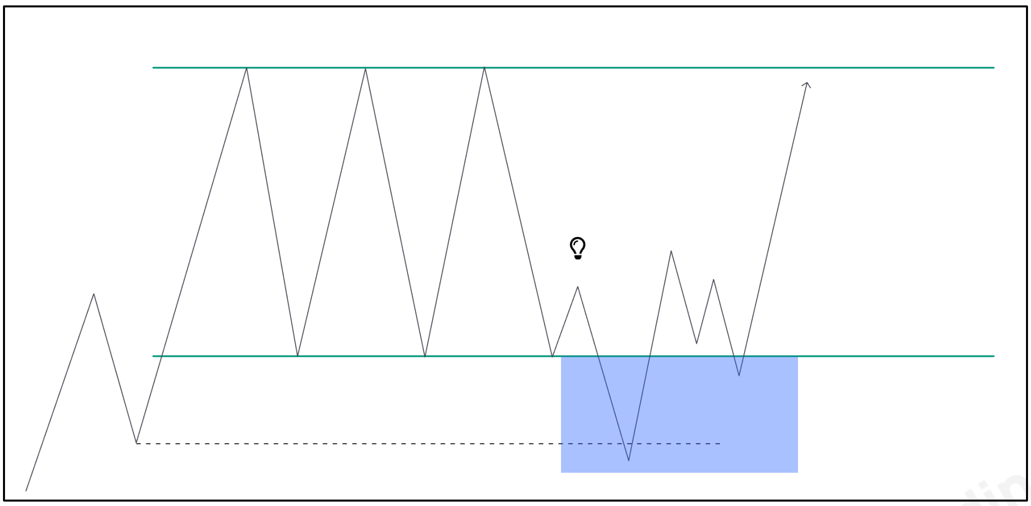


Following the deviation, price broke above the previous high, forming an intraday shift, this then gives us the necessary components to take a long position

AGGRESSIVE ENTRIES

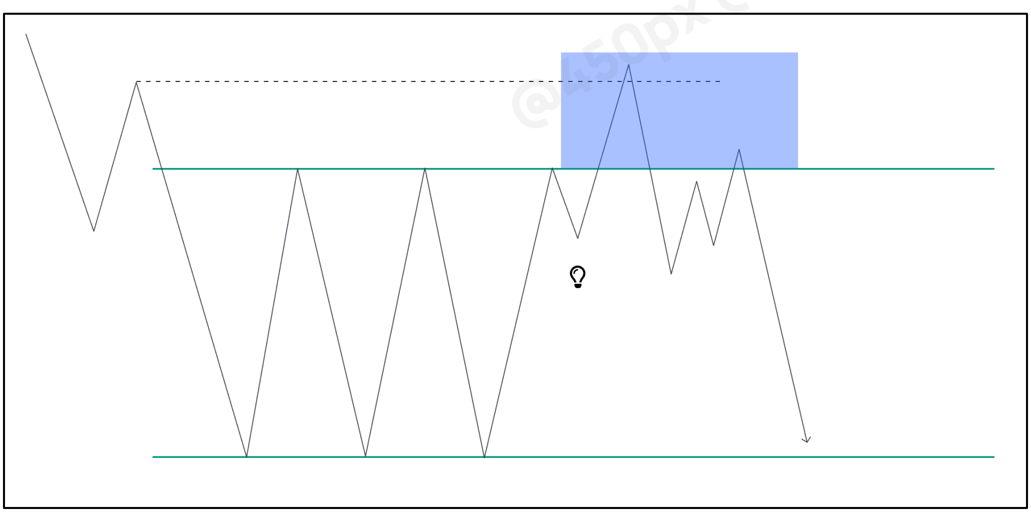
Aggressive /Long

Price deviates the range, forms an intraday shift, where we look to enter towards the range high



Aggressive /Short

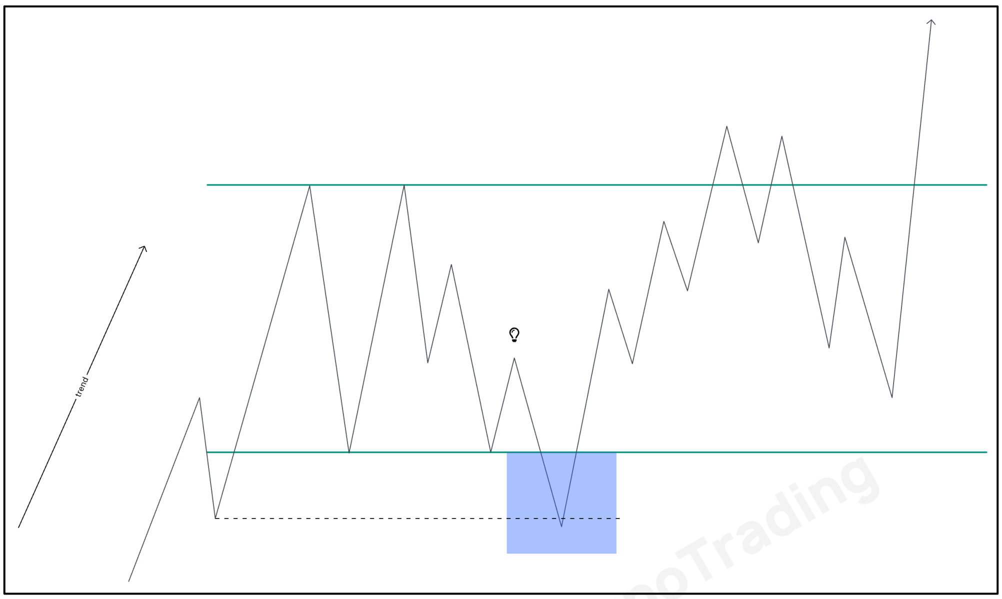
Price deviates the range, forms an intraday shift, where we look to enter towards the range low

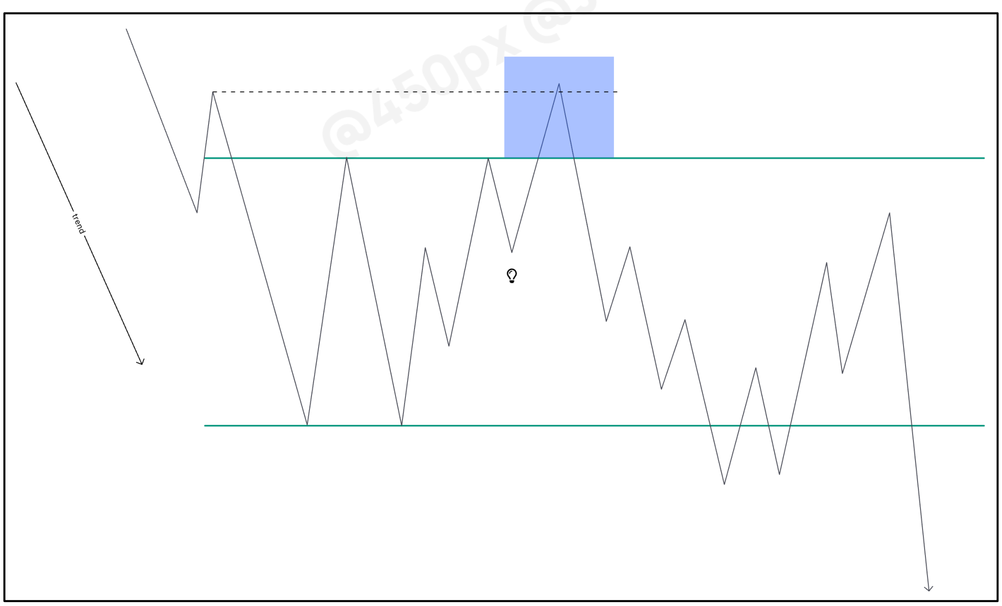


CONTINUATION ENTRIES

Continuation

If the trend on the higher timeframe is continuing or there is a draw of liquidity above/below, we can look to use a second tap of the deviation as a continuation entry

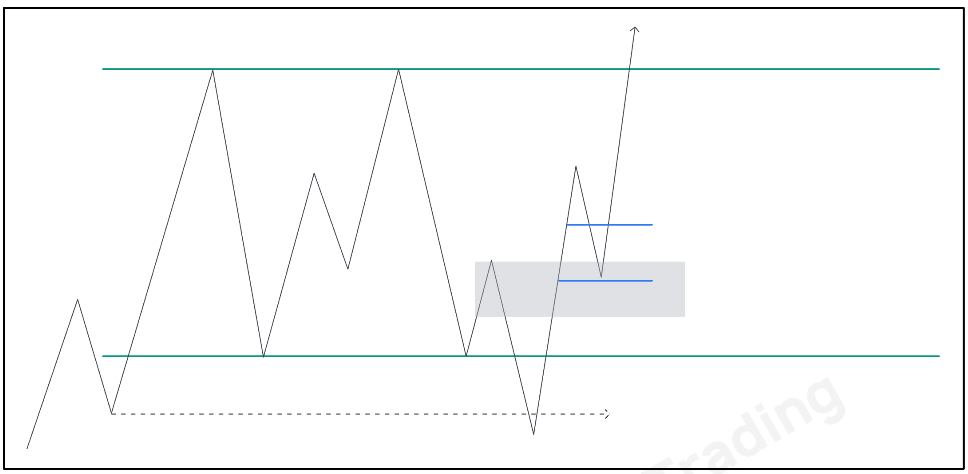




ENTRY TRIGGERS

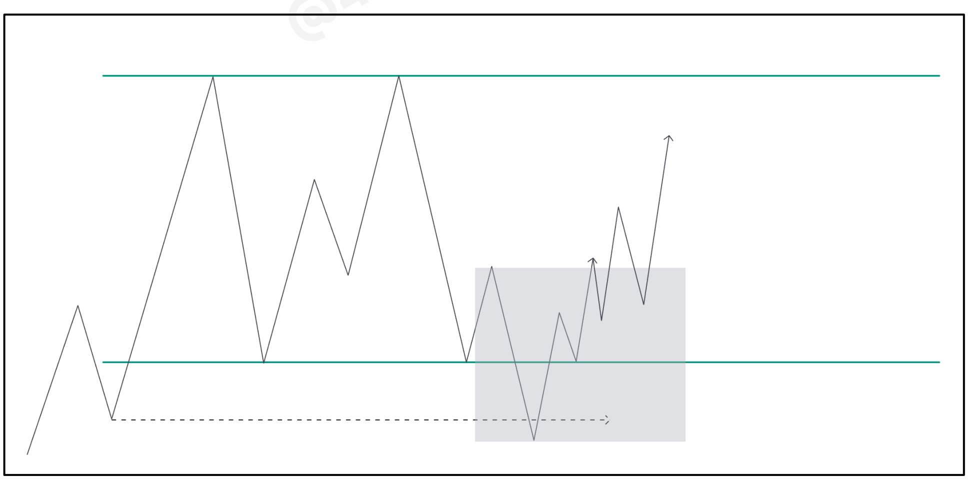
BREAKER + FVG

If price, following a deviation, moves through a breaker block with strength and aligns a FVG along side the breaker, we can look to use it as an entry function



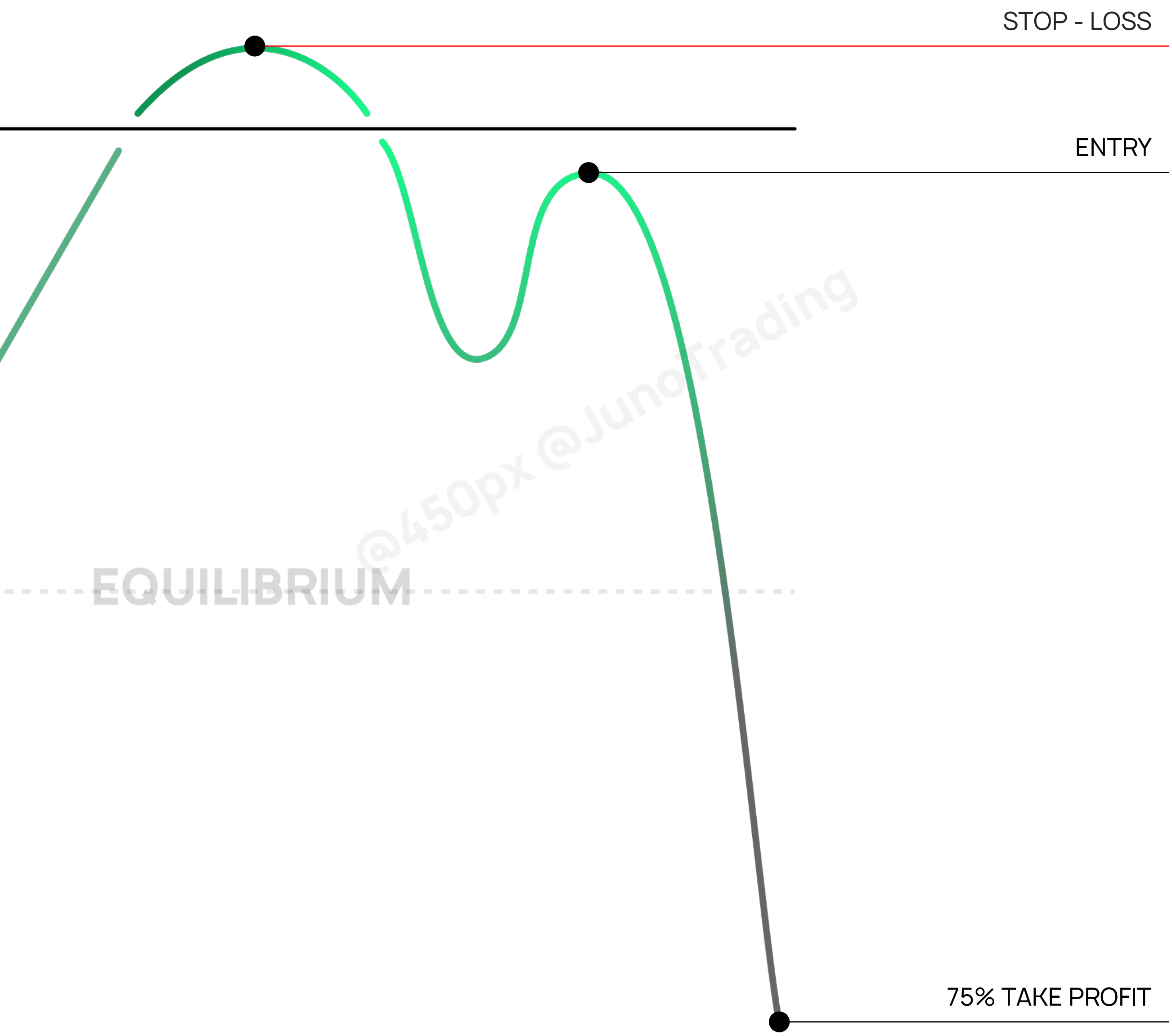
ORDERBLOCK

We simply look to long the orderblock following an intraday shift, which is when price breaks the previous high following a deviation



TAKE PROFIT.

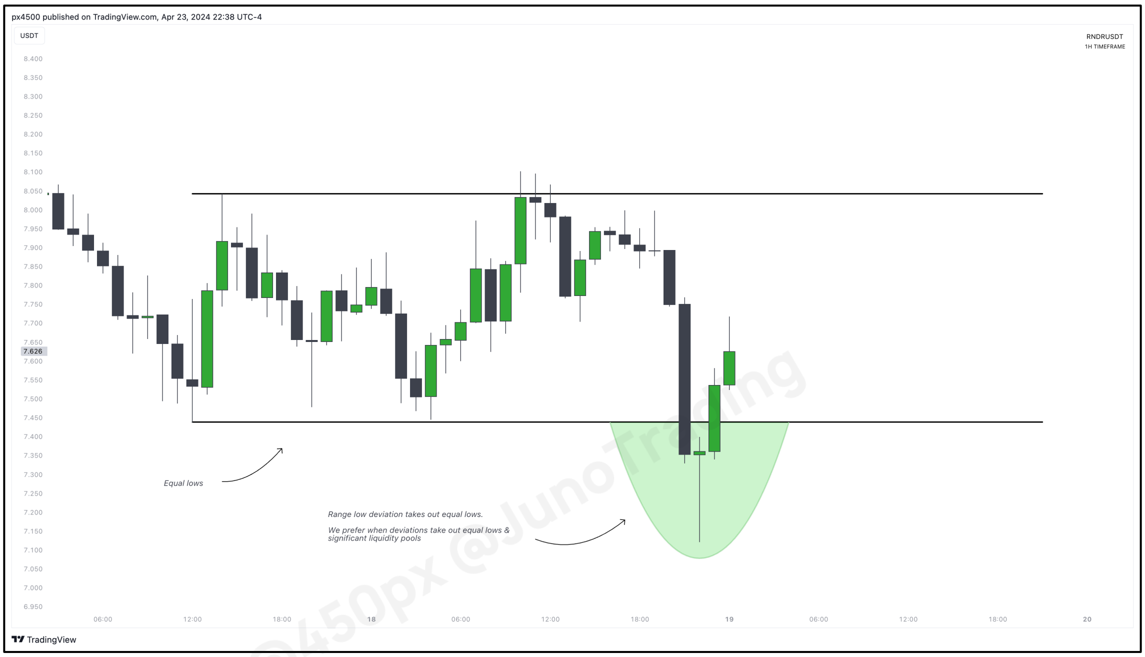
My recommendation for your positions 'take profit' is to reduce the position at the 'next' range boundary, this means a short position should be reduced at the range low

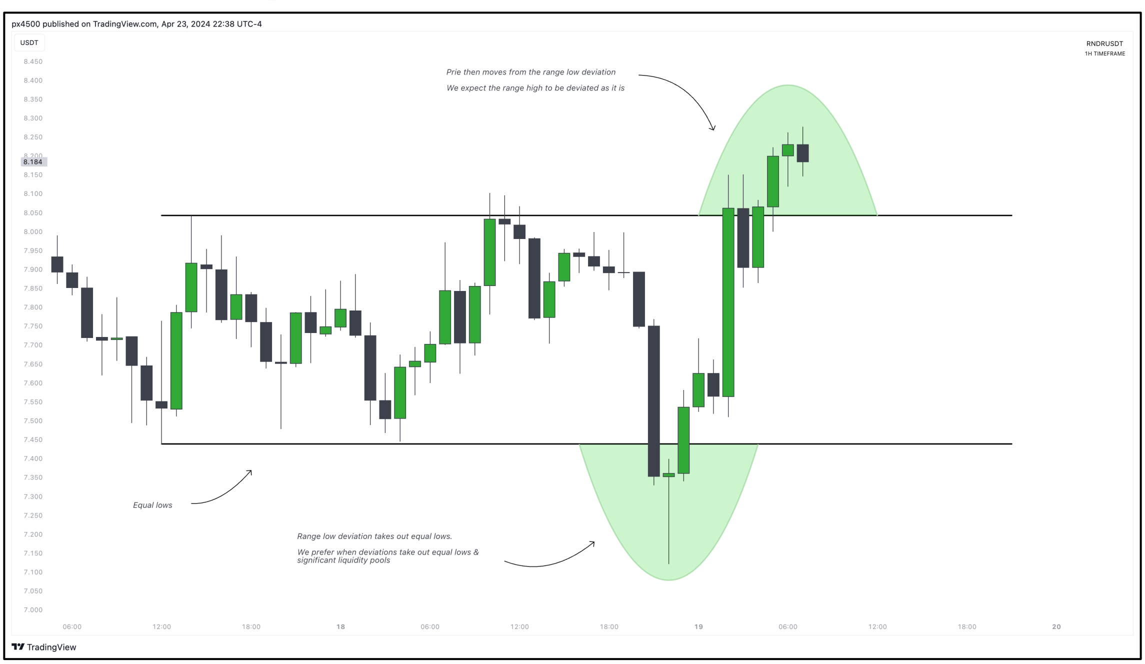


DEVIATION EXAMPLES.

RNDR / 18 April

Another prime example of price moving from the low of the range to the high.





DEVIATION EXAMPLES.

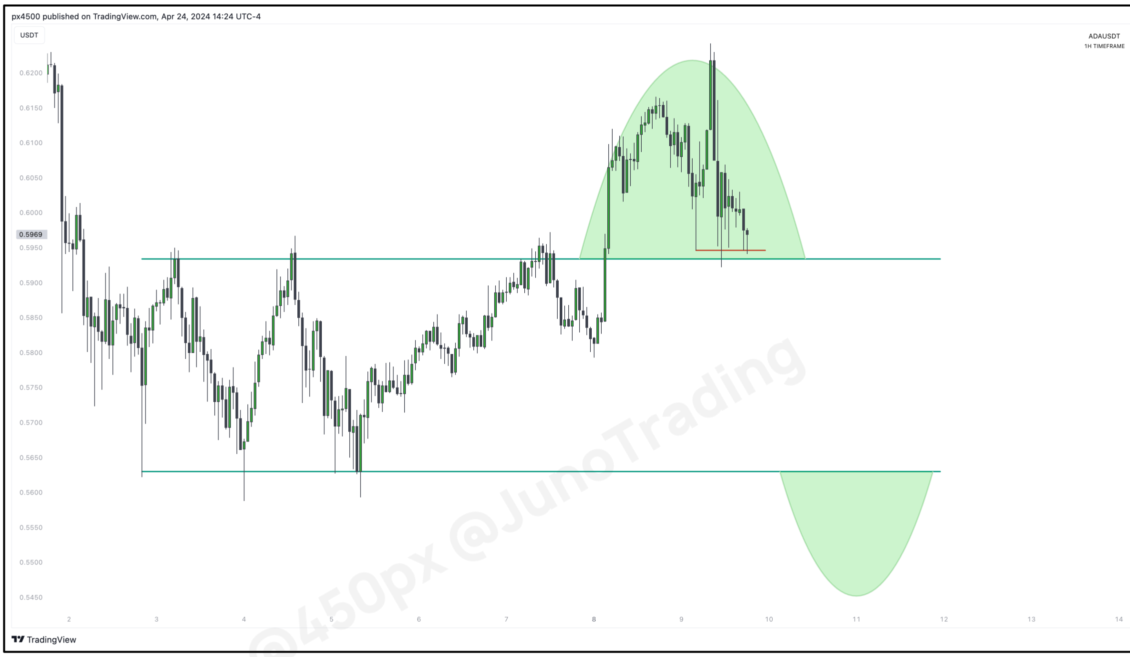
RNDR / 04 April

Here you can see price form a range before deviating the low, price reclaimed the range boundary and made an intraday shift, this provides us wit bias to long to the highs

DEVIATION EXAMPLES.

ADA / 08 April

Although ranges may look different each time, the context remains the same, deviate one side, we look to deviate the other. We must consider, draw on liquidity, structure and entry function



PART FOUR

Step by step

STEP BY STEP.

Thank you for reading this far, to summarize, we first start by identifying the range high and low, following this we are looking for a deviation which reclaims the range boundary to then search for an entry function. We must consider components such as liquidity pools, draw on liquidity point of interests.

1

STEP ONE

Identify range high

2

STEP TWO

Identify range low

3

STEP THREE

Range deviation

4

STEP FOUR

Entry function

PLEASE

LIKE & RT

FOR

MORE